

VCU319349 Acevedo, Claudia vs. Valley Healthcare Centers

County: tulare

Division: Civil Law and Motion

Department: 1

Hearing date: 2026-09-24

Motion: Motion for Preliminary Approval of Class Action and PAGA Settlement

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Re: Acevedo, Claudia vs. Valley Healthcare Centers

Case No.: VCU319349

Date: September 24, 2026

Time: 8:30 A.M.

Dept. 1-The Honorable David C. Mathias

Motion: Motion for Preliminary Approval of Class Action and PAGA Settlement

Tentative Ruling: To continue this motion for preliminary approval and CMC to October 8, 2026; 8:30 am; D1; to order a supplemental declaration as to the notice period, lodestar and presently incurred costs filed no later than five (5) court days prior to the continued hearing.

1. Sufficiency of Amount of Settlement (Net Estimated: \$212,000)

The gross settlement amount is \$450,000. Plaintiff estimates approximately 254 proposed Class Members, providing an estimated average payout of \$834.65 per member.

The Class Members consist of: all current and former hourly-paid or non-exempt employees of Defendant in California employed from March 20, 2021, through the date the Court grants Preliminary Approval or sixty (60) days after July 2, 2026, whichever is sooner.

Plaintiff primarily alleged the following violations: 1. Failure to Pay Minimum Wages [Cal. Lab. Code §§ 204, 1194, 1194.2, and 1197]; 2. Failure to Pay Overtime Compensation [Cal. Lab. Code §§ 1194 and 1198]; 3. Failure to Provide Meal Periods [Cal. Lab. Code §§ 226.7, 512]; 4. Failure to Authorize and Permit Rest Breaks [Cal. Lab. Code §§ 226.7]; 5. Failure to Indemnify Necessary Business Expenses [Cal. Lab. Code § 2802]; 6. Failure to Timely Pay Final Wages at Termination [Cal. Lab. Code §§ 201-203]; 7. Failure to Provide Accurate Itemized Wage Statements [Cal. Lab. Code § 226]; 8. Unfair Business Practices [Cal. Bus. & Prof. Code §§ 17200, et seq.]; and 9. Civil Penalties Under PAGA [Cal. Lab. Code § 2698, et seq.].

Plaintiff provides estimates of the maximum recovery for each of the asserted wage and hour claims and penalties with information showing how the estimates were calculated including the damages models utilized. (Declaration of Moon ¶¶30-43.) Plaintiff estimates the maximum recovery is \$5,680,661.01. Plaintiff has provided a detailed discussion of the value of each claim, applied various discount rates regarding the chance of success as to each claim which corresponds to the final gross settlement amount. Counsel estimates a realistic recovery figure of \$710,019.93.

After agreeing to participate in mediation, Defendants informally produced time and pay records for Settlement Class members, key class data points, and other documents and information relevant to the claims alleged in advance of mediation. The parties reached the settlement after mediation.

The Court finds the information provided in support of the gross settlement amount sufficient for the Court to preliminarily approve the gross settlement amount, as the settlement amount appears to be within the recognized range of reasonableness given the claims and defenses asserted in this case.

Plaintiff's deductions from the gross settlement of \$450,000 are proposed as follows:

Proposed Court Approved Attorney Fees (33.3%):

\$150,000

Proposed Attorney Costs (up to):

\$25,000

Proposed Enhancement Payment to Plaintiff :

\$10,000

Proposed Settlement Administrator Costs:

\$8,000

Proposed Total PAGA Payment:

\$45,000

Proposed Net Settlement Amount

\$212,000

2. Class Notice

The settlement agreement provides no claim form will be required of class members to participate in distributions. Only those wishing to object or opt out must file notice with the settlement administrator.

Objections or opt out notices are to be made within 45 days. The Court regularly approves notice periods of 60 days or longer.

The class notice period is therefore not approved.

With respect to the content of the Notice, the Court finds the Class Notice to be reasonable. It clearly provides to the class member an estimate of the settlement share the employee is to receive and provides adequate instructions for any class member to opt out of the settlement or to submit an objection.

3. Enhancement Award to Class Representative

The court preliminarily approves Plaintiff Claudia Acevedo as Class Representative for settlement purposes. The proposed enhancement award to Plaintiff is \$10,000.

The Court has, in past cases, approved enhancement awards of \$5,000.00 routinely.

Enhancement payments "are fairly typical in class action cases." (Cellphone Termination Fee Cases (2010) 180 Cal.App.4th 1110, 1393.) Enhancement payments "are intended to compensate class representatives for work done on behalf of the class, to make up for financial or reputational risk undertaken in bringing the action, and, sometimes, to recognize their willingness to act as a private attorney general." (Rodriguez v. West Publishing Corp. (9th Cir. 2009) 563 F.3d 948, 958-959.) "[T]he rationale for making enhancement or incentive awards to named plaintiffs is that he or she should be compensated for the expense or risk he has incurred in conferring a benefit on other members of the class." (Clark v. American Residential Services LLC (2009) 175 Cal.App.4th 785, 806.)

Therefore, the Court will approve a \$5,000 enhancement.

4. Attorneys' Fees and Costs

Attorneys' fees of 33.3% of the gross settlement fund of \$450,000 or \$150,000 and costs not to exceed \$25,000 are sought by Plaintiff's counsel.

Although the Court recognizes the utilization of the percentage of the common fund methodology to award attorneys' fees, the Court requires a declaration from counsel that provides an estimate as to what the lodestar would be in this case. The ultimate goal of the Court is to award reasonable attorneys' fees irrespective of the method of calculation. As such, the court needs to know the estimate of the approximate lodestar supported by declarations for preliminary approval. Counsel should submit information as to the time spent on this action and the hourly rates of all counsel working on the case. Without such information, the Court declines to preliminarily approve the fees.

The Court also cannot preliminarily approve costs up to \$25,000 without a declaration which states the costs currently expended.

The Court, however, finds that Plaintiff's counsel are experienced class action attorneys through the declarations of counsel.

5. Claims Administrator

The Court preliminary approves Phoenix Class Action Administration Solutions as the claims administrator for this class action based on prior experience with this settlement administrator in other class actions litigated in this Court as well as the declaration of Jodey Lawrence, Phoenix's President of Business Development. The Court preliminarily approves administration costs not to exceed \$8,000.

6. Unclaimed Settlement Proceeds

The Court preliminarily approves the distribution of unclaimed settlement proceeds to California Controller's Office Unclaimed Property Division, with an identification of the Participating Class Member to whom the funds belong, in accordance with Code of Civil Procedure section 384.

7. Release

The Court finds the proposed release of claims reasonable under the circumstances.

8. LWDA Notice

The declaration of Moon indicates confirmation from the LWDA of receipt of proof of submission of the proposed settlement agreement. (Lab. Code, § 2699, subd. (s)(2).) (Declaration of Moon ¶13 – Exhibit 3.)

9. Class Certification

Code of Civil Procedure section 382 permits certification "when the question is of a common or general interest, of many persons, or when the parties are numerous, and it is impracticable to bring them all before the court." (Code Civ. Proc. § 382.) The plaintiff bears the burden of demonstrating that class certification under section 382 is proper. (See *City of San Jose v. Superior Court* (1974) 12 Cal.3d 447, 460.) To do so, "[t]he party advocating class treatment must demonstrate the existence of an ascertainable and sufficiently numerous class, a well-defined community of interest, and substantial benefits from certification that render proceeding as a class superior to the alternatives." (*Brinker Restaurant Corp. v. Superior Court* (2012) 53 Cal.4th 1004, 1021.)

Here, the Motion and accompanying declaration of Counsel sufficiently sets forth the basis for finding the class is numerous and ascertainable as 254 employees have been identified through Defendant's employment records. Additionally, common questions of law and fact predominate within the individual causes of action based on class wide policies and procedures of Defendant. Further, the class representative, through their declaration, indicates they will adequately and fairly represent the Class Members and will not place their interests above any Class Member. The Class Representative was employed by Defendant during the relevant time period and thus worked under the same policies and procedures as the Class Members.

Therefore, the Court continues this motion for preliminary approval to October 8, 2026; 8:30 am; D1 and orders a supplemental declaration as to the notice period, lodestar and presently incurred costs filed no later than five (5) court days prior to the continued hearing.

If no one requests oral argument, under Code of Civil Procedure section 1019.5(a) and California Rules of Court, rule 3.1312(a), no further written order is necessary. The minute order adopting this tentative ruling will become the order of the court and service by the clerk will constitute notice of the order. Court reporters are usually not available for law and motion matters in the civil division. The parties and counsel must provide their own reporter if they want a transcript of the proceedings.